

the United States, China, and Australia limit foreign airlines from carrying passengers between two points within their borders.

THE ROADMAP

Aviation experts list out a set of reforms to get Indian airports ready for competition with global giants. The primary among them would be to expedite transfers with a single transfer security/checkpoint, through-checked baggage across carriers, and simplified customs corridors for transfers. Gulf hubs have a sub-two-hour transfer window.

Intermodal access to a reliable high-speed rail/metro/expressway with last-mile connectivity to keep transfer times to city/regional nodes predictable is necessary. So are high-quality transfer amenities with well-designed transfer lounges, clear wayfinding, transit visas or visa-on-arrival for short transits, and efficient retail/food options to monetise non-aero revenue.

Airports in India have been focusing on non-aero revenue, which includes duty-free shopping and retail, cargo, food & beverage, car parking, and more. But they need to do a lot more. Patel says India's average non-aero revenue per passenger is \$3.75–4.30 (PPP airports, FY2024), while for key global hubs, it is \$7.2–15.9 per passenger (2023). It is projected to reach \$7 per passenger by 2030. Primarily, Indian duty-free spending is focused on liquor and chocolates. Assessments show Indians don't spend much on big foreign brands at airports.

"Based on the above, there is a clear opportunity for revenue/passenger growth across airports in India. Indian airports lag global peers in non-aeronautical revenues per passenger. Lower international/transit traffic contributes to lower non-aero yields in India," says Lazar.

In the next four to five years, non-aero yield at Mumbai and Delhi is projected to grow, driven by growth in the duty-free segment, premium retail expansions and better yields from advertising, car parking, and rentals, say experts.

At the policy level, there has been a demand for liberal traffic rights and ASAs to allow international carriers route traffic via Indian hubs or encourage Indian carriers to develop global feed.

"One needs to provide volume-based rebates, attractive refuelling terms, priority slots to airlines, dedicated transfer zones, transit visa relaxations and technology for boarding and baggage transfer for transit passengers. Competitive and varied MRO service offerings are also key for an airport to develop as a transit hub over the long term," says ICRA's Banerjee.

Another key focus area is air cargo. Experts say there



K RAMMOHAN NAIDU

CIVIL AVIATION MINISTER

“The real challenge is to ensure smooth transfers across all combinations. Once we address these challenges, our airports will be on a par with the best in the world”



MAYUR PATEL

HEAD OF ASIA, OAG AVIATION

“India is among the top three by origin and destination traffic. That makes a hub strategy commercially plausible”

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is a need to streamline belly cargo transfer as air-freight connectivity is a major revenue for hub airports like Dubai. India also needs to create bonded logistics parks and fast-track customs clearance.

Lazar says the government must classify airports as MMTH (Multi-Modal Transport Hubs) and plan mini-cities around them with vast municipal and tax benefits. "India needs to augment airport capacity; increase slots; ensure last-mile connectivity & inter-airport connectivity; and build retail, leisure, business centres like Aerocity at each airport to enhance convention and business travel and ensure on-time departures/arrivals. Also, to invite more foreign capital, it must offer tax holidays," he says.

Navi Mumbai and Noida airports are expected to set a new benchmark in Indian aviation in the coming years. But India as a whole needs more such efforts, and maybe on a larger scale. **BT**

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